

4.3

Monopolistic competition

Explain:

- The characteristics of monopolistic competition

Explain, with the aid of a diagram:

- Short run monopolistic competition; supernormal profit/loss
- Long run monopolistic competition; normal profits
- Equilibrium price and output for a firm in monopolistic competition

Evaluate:

- Advantages and disadvantages of monopolistic competition

Topic	Students should be able to:
-------	-----------------------------